Developing Organization wide BPM capabilities in an SME: the approaches used, challenges and outcomes

ABSTRACT

Business Process Management (BPM) is well known for improving the competitiveness and sustainability of a business, and is widely applied. But, BPM practices in SMEs are alarmingly low, regardless of the potential positive impacts BPM brings. This is due to: limited resources, absence of a cross-functional mindset, and lack of strategic clarity. Adopting BPM as a management paradigm across the enterprise (hereafter referred to as Enterprise-BPM (E-BPM)) reduces operational inefficiencies and supports innovative practices essential for success, which is key to SMEs. However, SMEs lack the required know-how, and hence BPM education/ training plays a vital role in supporting this transformation.

Teaching cases are recognized as a useful form of education to bring real-life to the classroom, and more and more BPM teaching cases are emerging. However, there is a shortcoming in teaching cases addressing E-BPM, and teaching cases addressing E-BPM in SMEs are to-date non-existent. This teaching case, especially developed to address this gap, is based on a Norwegian conference venue operating in the Norwegian market. This narrative describes the organization, the context for deploying BPM on an enterprise level and related challenges.

Keywords: Teaching case, Business Process Management, Process Centric Organization, SMEs.

INTRODUCTION

This case study is based on a real-life conference venue company in Norway named; “Kringler Gjestegard AS” (hereafter referred to as ‘Kringler’). In order to avoid being forced to go out of business in a highly competitive market, Kringler is in need of making smart investments with a long-term perspective in mind. Currently, decisions are made based on instinct and individuals’ tacit knowledge and experiences, and there exists little or no end-to-end process awareness in the organization. Employees lack an understanding or appreciation on how their day-to-day work affects the company’s existence and longevity. Employee support for improvements is very minimal; they are reluctant to bring about any of the essential changes. A need to have a systematic approach to manage the processes across the organization or in other words to have a more process centric organization is recognized by senior staff at Kringler.

As defined by Tregear (2010), a process centric organization is an organization that uses its processes consciously to improve business results. Underlying this definition is the attention to managing processes as a system, by seeing the linkage between processes and associated elements as well as other processes. Process management is coordinating all the value-creating processes of the organization. But to be able to establish process thinking, an organization needs to undergo a BPM transformation (Davis, 2010). Vom Brocke and Rosemann (2010) describe a set of key points that need to be addressed for an organization to become process centric. They recommend that BPM Maturity of the organization needs to be assessed, along with appointing process owners and developing performance measurement targets.

With SMEs comprising of the vast majority of worldwide business activities, developing competitive advantages with SMEs through the implementation of BPM is gaining attention from a multiple of governments (Kirchmer, 2011; Riley & Brown, 2001). As proposed by Chong (2014) and Imanipour, Talebi, and Rezazadeh (2012), the actual knowledge of BPM within SMEs in any industry is alarmingly low. Culture and people are known to be the most influential factors for value creation in SMEs, as they are so much more reliant on the individuals in the workforce (Taticchi, Cagnazzo, & Botarelli, 2008). Employees are expected to be innovative and evoke improvements on their everyday business processes at a regular basis, especially in SMEs. Štemberger (2009) claims the only way of assuring a sustained enterprise-wide approach, is through developing and thoroughly embedding sound BPM practices to bring together all parts of the organization. Such an enterprise wide BPM effort could facilitate innovative practices that can support the organization’s strategic directions, survival and success.

People capabilities are recognized to be a core pillar and also one of the biggest challenges for successful E-BPM efforts (Bandara, Alibabaei, & Aghdasi, 2009; Schmiedel, vom Brocke, & Recker, 2013; vom Brocke, Petry, Schmiedel, & Sonnenberg, 2015). Different mechanisms to train people in Enterprise wide BPM are sought for to address this (Bandara et al., 2010; Leyer & Wollersheim, 2013). Teaching cases are an established mechanism to assist in BPM capability building (Bandara, Thennakoon, Syed, Mathiesen, & Ranaweera, 2016). A teaching case provides an applied example from the real world, allowing students/trainees to be creative and solution oriented in their way of thinking. Such resources are called for in BPM (Bandara et al., 2016). This case addresses a previously untapped resource gap by presenting a teaching case that is on E-BPM within an SME context.

BACKGROUND ON THE CASE ORGANIZATION

Kringler Gjestegard AS (here after referred to as ‘Kringler’) is a conference venue in Norway with ten full time employees, and between eight and twelve part-time employees (the number depends on peak times). It is located close to the International Airport of Oslo, while still being secluded and away from the busyness of the city. For further details, see the company´s website at www.kringler.no. Established in 2001, it has grown from hosting only daytime events to accommodating for overnight conferences for up to 51 guests. It is an “all rights reserved” venue, and the kitchen caters all meals for the guests. The hosts and owners of the company are a married couple without any experience in hospitality prior to establishing the company.

The venue is a refurbished farm, with the kitchen, dining area and main conference rooms situated in an old barn. Accommodation is enclosed by a yard, a short walk away from the barn, and guests are encouraged to explore and take advantage of the rural location, as illustrated in the pictures in Figure 1. Forest walks, cross-country skiing, cycling and canoeing are activities being hosted at Kringler. The organization aspires to maintain their values as down to earth and honest, while at the same time offering top-notch facilities for businesses hosting their conferences at the venue. The Norwegian version of the company vision can be discerned in Appendix A.1, but in short the slogan can be translated into “relax a little”, or “lower your shoulders”. Closeness to nature and escaping from everyday stress of the business world is well facilitated through the surroundings (see Figure 1 and snapshots from the website in Appendix A.2). Their primary customer base is leader groups from both the private and public sector. Protecting the privacy of their guests is a high priority at Kringler.

Figure 1: The surroundings of Kringler Gjestegard

The venue is, along with every other company in the hospitality business, subject to changes in the market economy. For example, the latest downfall in oil prices is suspected to be affecting the economic situation in Norway, and thus affecting Kringler, as observed by a (slightly) decreasing trend of bookings made for the next 12 months (Olstad, 2016). Kringler is in need of making smart investments with a long-term perspective in mind in order to avoid going out of business in a highly volatile market. Decisions are made based on instinct and with an ad hoc approach to solving challenges, and there exists little to no end-to-end process awareness in the organization. This is a typical feature of most SMEs (also supported by Taticchi et al. (2008)). With the oil prices decreasing and the Norwegian market expecting a possible recession due to this, Kringler sees the need for a systematic effort to increase efficiency and customer value, without expanding the physical facilities. Their uniqueness lies within the interpersonal connection the employees have with the guests, and how customized the conferences are made. Compared to larger conference venues (i.e. hotels), Kringler offers a more secluded, personal venue for smaller to medium sized conferences. Along with the changes in the economic situation, the CEO carries a heavy work load. She acts as the facilitator for almost all business processes in the organization in addition to her job as being the daily manager and handling bookings, invoicing and customer requests. There is an obvious need for change towards more innovative, autonomous employees taking on more of the responsibilities of their respective processes while developing a holistic process view.

Figure 2 displays the three main areas of operation of the business: conferences, accommodation and the restaurant. Outside of these areas, the business has a brewery, breeding of Scottish highland cows and team building activities in the surrounding nature. The process architecture displaying all processes in their current state can be found in Appendix A.3.

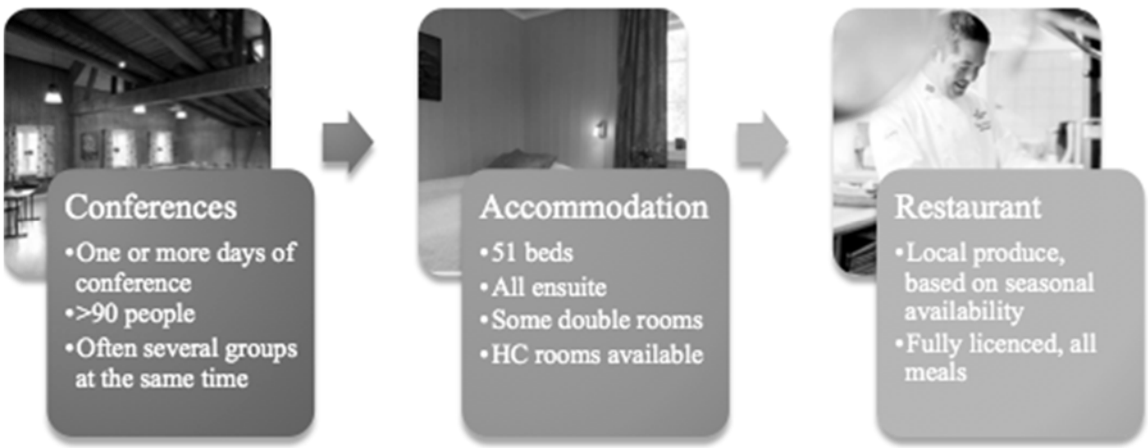

Figure 2: The three main areas of operations

The conferences are the biggest revenue generators for the business. There are often several (maximum approximately four) smaller groups hosting their conferences at Kringler at the same time. As stated by the CEO (personal communication, June 2016), the number of customer groups and size of the conferences are limited due to the following:

- Accommodation facilities (there are only 51 beds at the venue). See Appendix A.4 for details on the occupancy rate and Appendix A.5 for an economic transcript from the first half of 2016.
- The restaurant can seat only up to 90 people at the same time, with the capacity of the chefs being the other limiting factor. Focusing on local, farm fresh produce and seasonal availability, the chefs maintain a high standard of food but have limited resources to work with.

The current business goal is to increase revenue by increasing the revenue per conference. This would ideally be achieved by increasing the perceived customer value and making the customers willing to pay more. It could also be attained by making the customers choose the more expensive options for meal services, drinks and activities. In alignment with their strategy of not expanding further, the business is looking to improve the way their processes are executed to justify an increase in the prices through an increase in the value for the customers.

The following sections provide further details about Kringler, presenting the company value and strategy, the organizational structure and their current stakeholder analysis.

Value / Strategy

"A home away from home"

As mentioned in the above section, Kringler seeks to appear as a down to earth company, focusing on the interpersonal connection with its customers. The slogan embodies their value of creating a 'cozy'; 'homely' feel, reflecting the surroundings the customers encounter (illustrated in Figure 1). At the same time, the venue seeks to offer facilities that satisfy the requirements of a conference in terms of technology and services. The Norwegian version of the company vision along with a translation in English can be found in Appendix A.1.

The strategy of Kringler has been for the past three years, to stop expanding physically, and rather to develop the business further by taking advantage of being a smaller sized venue, focusing on delivering quality and customized experiences (see Appendix A.6 for a recent SWOT analysis conducted in September 2015). Local produce and a menu that varies with the seasons, carefully selected wines and beer produced by the local brewery are all part of their strategy to be unique and different from larger venues (i.e. their competitors). Figure 3 displays the vision centered on creating customer value and how this continuous cycle affects the approach to managing processes.

The uniqueness of the venue is emphasized through being a standout venue with top-notch facilities combining modern design with rural surroundings. While the aim is to standardize the processes, this is to be balanced so that the personal and homely feeling is not lost. All customer interactions should focus on creating a close relationship with the customer, i.e. "do the little things better". From a Business Process Improvement (BPI) perspective, this embodies the need for small improvements as opposed to larger-scale changes. As an extension of this, quality in all processes becomes inevitable, thus the need for managing processes is important to further develop the generation of customer value.

Figure 3: Creation of customer value

Organizational Structure

Figure 4 shows the organizational structure of Kringler. Except for the kitchen, which is run by the Head Chef since the beginning, the other branches have been introduced recently as part of an attempt to involve the middle level managers and empower them in their respective roles. This initiative has proven to be somewhat successful; at least the clarification of roles has led to an acceptance of responsibilities by the middle level managers.

This is a family owned business and the final decision makers are the owners of the company. At the top is the CEO who is assisted by the owners when significant decisions have to be reached. There are four middle level managers, each in charge of one part of the business: the restaurant, the evening shift, the daytime shift and the housekeeping. These four branches are presented in Figure 4, while an overview of the business processes can be found in Appendix A.3. The total number of permanent employees including the CEO (excluding the owners), is ten. In addition to this, wholly depending on the number of guests, ten part-time employees work the evening shifts. This usually occurs when the conference groups comprise of more than 20 people, or the dinner menu requires extra attention. The need for part-time evening waiters arises almost every night. The limitation on full-time employees is due to in the organization’s financial constraints. The work allocations and rosters are usually made a week in advance.

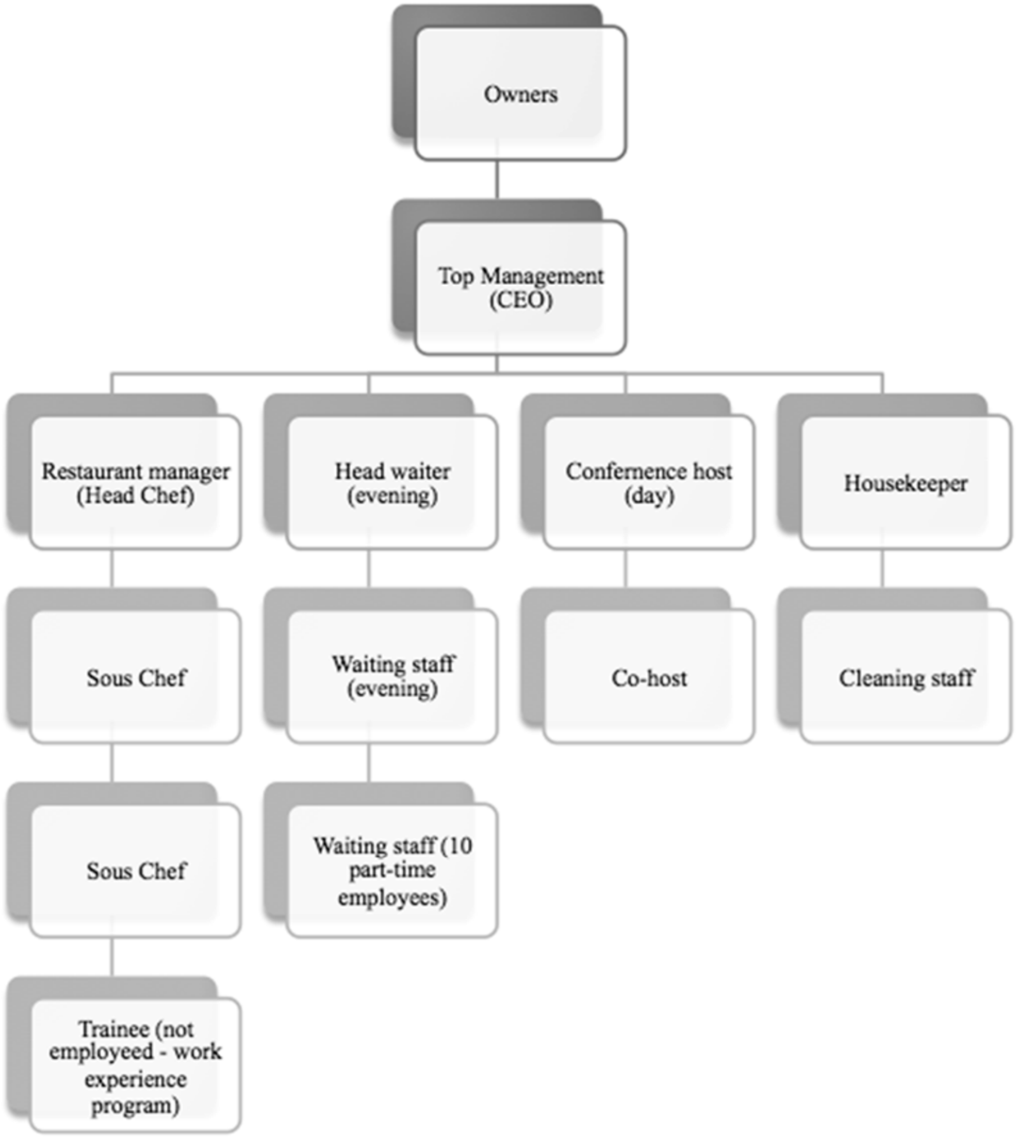

Figure 4: Organizational structure

Breakdown of the four branches

In the kitchen, the Head Chef (HC) usually runs things with little intervention from the top management. There are two Sous Chefs, and one trainee, and how the allocated work force is disposed is determined by the HC. The kitchen is observed to be very inefficient at times, and lacking clear allocation of responsibilities. Even though the Head Chef has hinted at this to the top management on several occasions, he has failed to do anything about it and even refuses help on the matter.

During the evening, the Head Waiter is responsible for the dinner service and opening of the bar for drinks after dinner. Depending on the number of guests and how hectic the dinner service was expected to be, there are between one and four extra waiters, all managed by the Head Waiter.

The daytime shift (Conference Host) is responsible for hosting the conferences, along with lunchtime services and some light cleaning duties. Depending on the number of guests, there are one or two hosts during the day.

The Housekeeper is responsible for cleaning the rooms, preparing for new arrivals and maintenance (mainly notifying the janitor). Again, depending on the number of rooms required, the Housekeeper is accompanied by one maid.

It is important to mention that the CEO sets up the rosters, and decides when and where extra waiting/cleaning staff is needed. The only exception is the kitchen, where the HC manages the demand based staffing. All employees except the four middle level managers are paid on an hourly basis. This is to enable staffing flexibility on a weekly/daily basis.

Stakeholder Analysis

When addressing the performance of a company regardless of its size, all stakeholders need to be taken into account (Harrison & Freeman, 1999). The stakeholders are identified as groups taking an interest in the firm, from employees, owners, customers and lenders to government and society amongst others. Table 1 shows a recent stakeholder analysis conducted for Kringler. This analysis takes all stakeholders into account, their role and what is important to them. The current strategy of the business to engage the stakeholders along with any comments to provide further details about the stakeholder is presented. As seen in Table 1, the different employees are addressed separately (middle level managers, permanent and part-time employees). However the analysis does not differentiate between the private and the public part of their customer base. It is assumed that they both have the same interest in having their expectations from the venue fulfilled, as well as the same effect on the business if these expectations are not met. Competitors are also included, but without differentiating between hotels that also act as conference venues, and venues for conferences alone.

Table 1: Stakeholder Analysis

akeholder name	Role	Power	Interest	What is important to the stakeholder?	Strategy for engaging the stakeholder	Comments
wners	Sponsors	High	High	Revenue, increased competitiveness and market share	Information	Same as top management
p Management	Managers	High	High	Streamlining of the business operations, empowerment of employees	Education, hold accountable	No education in hospitality or management, eagerness to learn.
iddle level managers	Managers	High	Medium	Empowerment, feeling important, upkeep of occupancy rate	Workshops, information, value their contribution	Professional workers, resignation will have severe impact on the business
rmanent employees	Employee	Medium	Medium	Maintain occupancy rate to maintain their employment, being seen	Surveys, company meetings, newsletters, improvement suggestion box, information	Consists of professional workers, and the resignation of one of them heavily affects the business
rt-time employees	Employee, but less influencial	Low	Low	Paychecks, maintain occupancy rate to maintain their work place		Consists of younger, unprofessional workers, little influence
stomers	Private and public organisations, users of the conference venue	High	High	Customer expectations met and exceeded, professionalism	Newsletters, surveys, information	Decrease in customer satisfaction will affect the important loyalty of the customer base
ppliers	Suppliers	Medium	Low	Invoices	Newsletters, surveys, information	Loss of important suppliers (such as local farms and wine importeurs) may change the restaurant deliverability in particular
nders	Capital investors	High	Low	Business surplus	Information	The company is very little affected by the lenders as they have little debt
vernment	Regulator, observer	High	High	Legislations, licences	Information	Can withdraw licences if rules are broken
ciety	Observer	Low	Low	Social impact of the business, employment	Newsletters, information, public events (open days)	Negative attitude towards the business may affect the "word of the mouth" as a marketing channel
mpetitors	Competition	High	Medium	Competitive advantages	Newsletters	Increased competition affects the business, but competitors have little influence over business decisions

Figure 5: Stakeholder analysis; power / interest

Figure 5 illustrates the several stakeholders with high power as well as high influence on the company. To the employees of Kringler, it may seem obvious that the owners and top management have high impact and influence, but not so the customers and government. But since processes are centered on customer satisfaction and the ability to accommodate (all) requests, the customer group has a high degree of influence and impact. As for the government, since the restaurant and accommodation facilities are bound to a long list of legislations and regulations, if the requirements from the government are not met, instant closure of the business is an outcome (and major risk). Liqueur licensing, food licensing, documentation of routines, the reporting of water usage etc., are some examples, amongst others. All the stakeholders placed in the top right box in Figure 5 should be carefully managed to maintain good relationships and enforce a positive influence.

Problem Synopsis

The market for conference venues is increasingly competitive, and based on the stakeholder analysis (Table 1) competitors have a high impact on the upkeep of business (supported by Sverdrup, Skogen, and Westerlund (2014)). In such a market, Kringler is in need of ways to keep up their current market share, and not lose to more professional venues (i.e. large hotels). Although they receive good feedback from their existing customer base, there is a consensus in the top management that efficiency is missing throughout the business (management survey dated August 2016; see Appendix B.1 for details). The role of business processes has gained more appraisals from the top management over the past 18 months (starting August 2015), moving from a “getting the work done” attitude towards “doing the work right”. As stated in the Value/strategy section, the strategy is to create customer value by focusing on the uniqueness of the venue and maintaining the close relationship with the customers. Underlying this statement is the need for minimizing waste and developing agility in the processes (supported by Yusof and Aspinwall (2000)). After being advised by a friend, who worked with business consulting for SMEs in Norway, to look towards developing BPM capabilities, the lack of process understanding amongst the employees became very clear to the top managers.

The CEO found it hard to motivate the middle level managers to take on a proactive approach to adapt to market changes. In addition, she spent a lot of her own time helping the employees plan the execution of their work from week to week, as agility to accommodate for customer requests is an important part of the strategy (Olstad, 2016). However, she did not appreciate why she should be spending her time doing what she believed was the responsibility of the middle level managers. The initiative to improve work routines was (almost) non-existent from the middle level managers, and the responsibility to adopt processes to changes in customer requirements fell solemnly on the CEO’s table. As resources are a limiting factor for most SMEs, utilizing the work hours of the CEO for doing the work of the middle level managers was undesirable (supported by Kirchmer (2011) and Kyriakidou and Gore (2005)).

The processes at Kringler were closely linked; each process heavily reliant on the performance of other processes. This is a common feature of most SMEs (supported by Chong (2014) and also the findings of Kenny and Reedy (2006)). Throughout a normal workday, employees interacted across the organization on multiple occasions (Olstad, 2016). The CEO wanted to see the employees develop a more holistic process centric view, to see the whole chain of business processes in the company, and how what they do in their roles impacted the overall performance of the organization. The objective was to target and remove inefficiencies in the processes. Top management believed that many of the processes had unnecessary steps and generated waste in the form of time and poor use of human resources.

INITIAL ATTEMPTS TO MANAGING BUSINESS PROCESSES AT KRINGLER

Due to the different challenges described above, as of January 2016, the CEO with the aim to review and improve Kringler’s processes, initiated a series of activities with a target of higher levels of efficiency and enhanced customer expectations. These improvement efforts included technology upgrades to facilitate the automation of the booking and invoicing processes, and employee surveys to understand the process awareness of the permanent employees and capture current knowledge sharing mechanisms. Pathirage, Amaratunga, and Haigh (2007) present such mechanisms as vital for the efficiency and consistency of processes. However, these improvement efforts lacked an overall improvement strategy and were ad-hoc efforts targeting different areas of inefficiency. Communication of these efforts to the employees was not coherent, as only one of the four middle-level managers could articulate the business strategy when asked to do so (Olstad, 2016). Hence, the employees failed to see the importance of their participation in improving things and did not commit to the suggested changes, and thus the initial improvement efforts were not as successful. More details of these improvement efforts are presented in the following paragraphs.

Starting in April 2015, Kringler took a step towards a major improvement in IT; from having all of their bookings handled manually (handwritten), an online hotel management system was implemented. The system adopted was 'HotSoft' (more details on the website http://www.hotsofthms.com/). This IT system included a booking system, an invoicing system and provided the kitchen with the necessary details associated with catering services. The reason for this choice of IT vendor was the high level of support offered by the vendor. Driven by the CEO who had minimal IT knowledge, this implementation was challenging and it was not until the beginning of 2016 that the system was utilized to its full extent. Regardless of the shortage of IT knowledge within Kringler, the CEO brought in the necessary IT support on-demand from an external consultant. With the improved and more effective use of Information Technology, process data started to become more readily available to the top management. Previously, information only existed in handwritten form, and processes were hardly documented at all. This lack of process data was a key challenge to understanding the company status and affected decision-making. Furthermore, the software enabled the CEO to better manage human resources, and thus reduce costs of having unnecessary staff at work. The booking and invoicing processes now have data available from the past 18 months as a positive outcome of the IT improvement. However, other processes, such as cleaning and conference hosting still have no data available.

An initiative to start measuring 'waste' in the areas of operations was taken by the CEO in January 2016. However, as she lacked the education and skills to implement such a system and no one else in the organization had spare time, the initiative was put on pause. This issue with improvement efforts coming to a stall due to time constraints is a well-recognized problem for SMEs in general (Imanipour et al., 2012). Process performance measuring in the organization is so far limited to the number of dishes sent back from the customers during meal service, and the wastage of food from the kitchen.

Over the past six months, two employee surveys were conducted. The objective was to estimate to what extent the employees are aligned with the organizational values and the business strategy, a factor which is emphasized as an important predecessor for organization-wide process changes as stated by Doebeli, Fisher, Gapp, and Sanzogni (2011), vom Brocke and Rosemann (2014) and Chu (2003). An excerpt of the results can be seen in Appendix B.2. Based on the overall results from the surveys the management discovered a trend: a gap between the expectations from the management and what the perceived feeling of responsibility and ownership was amongst the employees. The top management expects employees to be eager to always deliver the best possible service to the customers, in alignment with the creation of customer value (Figure 3). While half of the permanent employees said they felt greatly responsible for customer satisfaction, the other half felt little or no responsibility on how the organization performed. In fact, they believed that this responsibility should fall entirely on the top management. This split opinion exists between the employees who have been with the company the longest, and the ones more recently hired. In the early days of the company, little attention was paid to the importance of HR management. It is worth mentioning the lack of a clear business strategy and vision for the first seven years of operation. However, in the past two years, the top management has started perceiving the importance of an alignment between the HR policy and the business strategy. Employees are sought to be better educated in terms of their respective areas of operation and are expected to have company interest at heart. After being exposed to BPM it has become clear to the CEO the value of having employees that understand the importance of and are compliant with the organizational values and vision in every step of their work routines.

The process knowledge exists in the form of tacit knowledge: the permanent employees are to some extent familiar with the processes, but clear articulation of such is lacking. As is common in an SME, the level of process knowledge is dependent on each individual employee (supported by Chong (2014) and Yusof and Aspinwall (2000)). Yet, the actual knowledge sharing in the company is very limited. There are no efforts in place to enhance the level of knowledge sharing, nor is the top management actively incentivizing such sharing. The current approach to knowledge sharing is top-down; the top management are the people who are highly familiar with the business operations. There have been some efforts towards a bottom-up approach to knowledge sharing (i.e. a suggestion box), however these proved to be unsuccessful and were not used. The top management developed brief, handwritten instructions for the different roles (January 2015), but failed to include feedback from the middle level managers, who in fact manage the roles on a daily basis. The willingness by the employees to contribute was almost non-existent. In retrospect, the top management admits that the initiatives taken to engage employees were halfheartedly done.

BPM Responsibilities and Current Practices

Currently, there is no one responsible for BPM in the organization. One part-time worker took the initiative to embed some improvement efforts within the IT sector, and is being supported by the top management to continue to do so. However, the visibility and articulation of these improvement efforts to the employees outside the top management group are limited. The limitation of human resources (less than 20 employees) rules out the possibility for larger IT-tools and relocation of employees to IT- or BPM-specific tasks (supported by Chong (2014) and Taticchi et al. (2008)).

The current BPM tools are limited to post-it notes, MS Office and hand written notes (see visual image in Figure 6). The tools for design and modeling of processes (to what little extent there is) are limited to the same basic tools. Improvement ideas usually originate from the top managers or their family (a common feature for SMEs as maintained by Chong (2014) and McAdam, Stevenson, and Armstrong (2000)). These are customarily scribbled down on post-it notes and hung up on the wall in the CEOs office. Figure 6 depicts the desk environment of the CEO that is the ‘home’ for these improvement ideas. The blackboard behind the two screens is where all the improvement reminders are hung up, needless to mention the lack of process overview or systematic approach to Business Process Improvements (BPI).

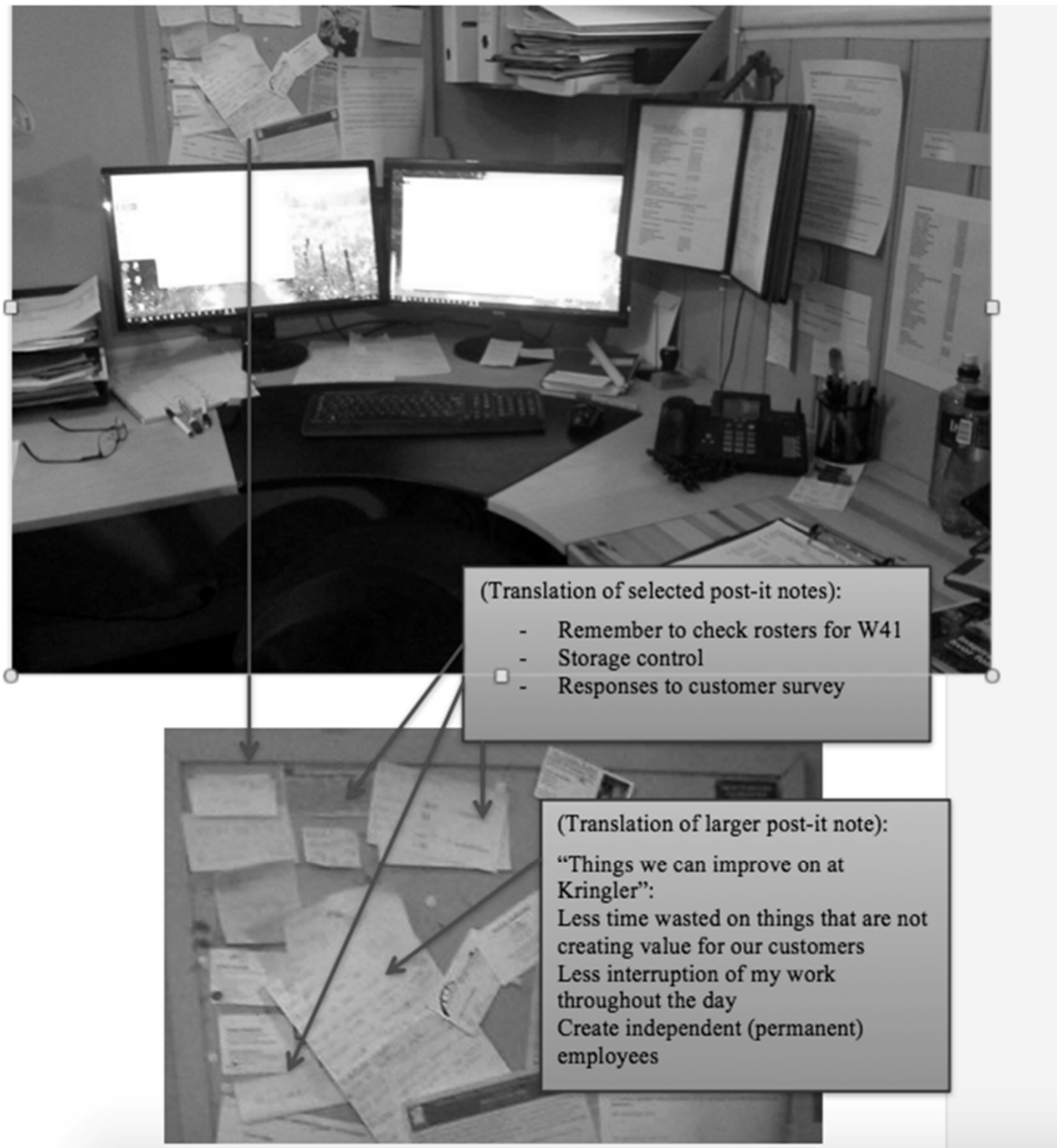

Figure 6: The office environment of the CEO

Decision-Making Methods

The top management currently holds the decision-making authority in terms of changes or improvements to the routines. However, they highly encourage the middle level managers to take on some of this responsibility, with the intent to empower them as well as reduce some of the responsibilities from the top management. This was part of the clarification of the roles, as previously described. However, the allocation of responsibility is not clearly articulated, and is still a source of confusion for the middle-level managers (when are they expected to make a decision, and when should it be left up to the top management to decide?) Fu, Chang, and Wu (2001) as well as Dallas and Wynn (2014) support this approach in SMEs. As the top management discerns, the final decision for larger changes still sits with them, but the initiative should start from the employee level. Since the establishment of the business in 2001, most decisions have been made on an ad hoc approach. An example of this is how one of the owners suddenly took an interest in brewing, and decided to purchase a brewery. No business model was developed prior to this decision, and as a result there are no short or long term plans for expansion of this part of the business.

Current Attempts to Measure Success

All projects, regardless of the area, are not measured in their performance within Kringler. Currently, there are no means of measuring the process performance. The top management bases its opinion of how the processes perform on 'gut' feeling and subjective evaluation (Olstad, 2016). To some extent the evaluations are based on financial numbers or the number of guests. Even this is not carried out within a performance review context, but rather out of mere curiosity on the overall performance of the business.

The current Business Process Improvement (BPI) efforts can be said to be sparse and executed without an overall strategy. After attempting to introduce process improvements to the organization, the CEO felt the need for a more holistic approach spanning all of the areas of operation, linking them tighter together instead of focusing on little bits and pieces of improvements. This lack of a strategic approach to BPI efforts is commonly seen in SMEs (supported by Imanipour et al. (2012)). The CEO's awareness of how the processes are reliant on each other was increased after being introduced to BPM (as explained by Dallas and Wynn (2014), management support and awareness is crucial for BPM implementations in SMEs). Secondly, enabling the middle managers as 'process owners' to perceive how their performance affected the overall business performance was an important step towards obtaining a company-wide, consistent process management effort (an E-BPM effort). Following this, sparse attempts to map processes took place (see Appendix B.3). Each middle level manager was given some sort of process standards for performance as well as management standards from the top management. This approach is also supported by Chong (2014). The need for action was triggered with strong support from the CEO, and the objective was now clear: move from a disintegrated series of ad-hoc individual Business Process Improvement (BPI) efforts, to developing a holistic approach towards enterprise BPM (E-BPM).

KRINGLER´S ENTERPRISE-WIDE BPM EFFORTS

The need for developing a process centric view within the organization became clear to the CEO by the end of first quarter of 2016. For her, as part of the top management, to focus on the further development of the business and upkeep of market share required employees that realized their impact not only on customer experience and creation of value, but also on how their processes affected the performance of other processes. The QUT BPM Maturity Model presented by De Bruin and Rosemann (2005) was introduced to the CEO by a friend in the consulting business in Norway, and due to the lack of knowledge of any other models, this framework was simply selected as a guiding framework in starting the E-BPM journey. Supported by the handbooks on BPM and maturity assessment (Vom Brocke & Rosemann, 2010) the CEO then decided on applying this framework to help develop Kringler's enterprise-wide approach to managing processes.

Introducing the BPM Maturity Model (BPM MM) Adapted Here

The QUT BPM MM (Rosemann & De Bruin, 2005) was applied here. The model takes the following six factors into consideration when measuring the maturity of the business processes of an organization:

- Strategic Alignment
- Governance
- Methods
- Information Technology
- Culture
- People

Each of these six factors has five underlying capability areas. A comprehensive yet succinct description of these can be found in the works of Rosemann and vom Brocke (2015).

Furthermore, the QUT BPM MM provides the framework on which the maturity of an organization can be addressed using five levels of maturity (Rosemann & vom Brocke, 2015). Given that the objective of undertaking a BPM maturity assessment for Kringler was to allow for a holistic assessment of the maturity of processes, the CEO found the QUT BPM MM fit for the purpose. She found the inclusion of the capability areas People and Culture an advantage in this model (Curtis & Alden, 2006). Moreover, responsiveness to change, attitudes of the employees as well as knowledge of process management are all factors addressed in the QUT BPM MM. These factors inhibit an organization from progressing towards a process centric view (Škerlavaj, Štemberger, & Dimovski, 2007).

However, the QUT BPM MM is (to the authors' best knowledge) yet to be applied in an organization of this size previously (i.e. an SME). Its use of five levels of maturity did not 'sit right' with the top management at Kringler. As mentioned earlier, the company was short on resources, hence to assign one employee to carry out BPM activities alone was improbable. Thus, it was a daunting challenge for the organization to aspire to reach the highest level of maturity depicted by the original QUT BPM MM. This observation is supported by the findings in other SMEs by Chong (2014) and Taticchi et al. (2008). The top management decided to use four levels to assess the organization's BPM capabilities as an SME. Figure 7 depicts the scale of the four new levels of maturity adapted here, with a description of what characteristics were associated with each level. Still following the six capability areas and their respective factors, the QUT BPM MM was used to assess the current state of the organization with the slight adaption of using four levels of maturity instead of five.

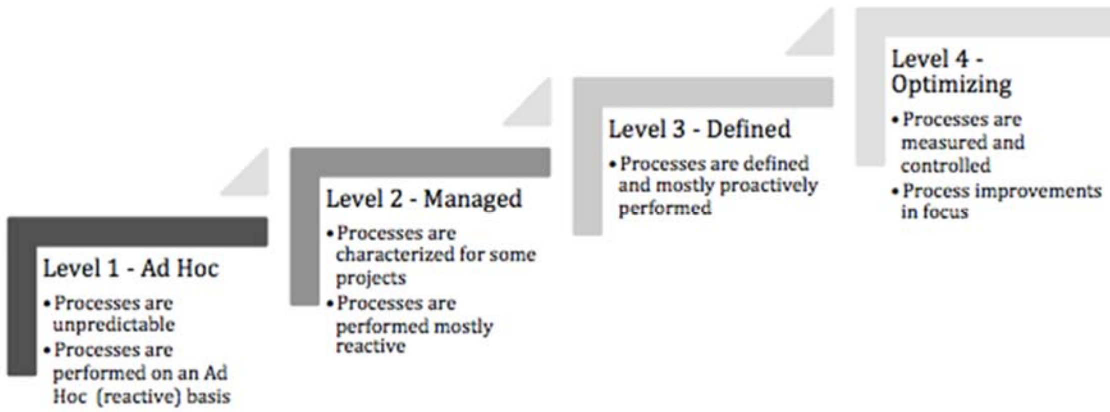

Figure 7: The four levels of maturity

The Current State Assessment

When undertaking the assessment using the QUT BPM MM and the (new) four levels of maturity as described in Figure 7, the top management evaluated the organization and derived a score for each of the capability areas of the six factors, as seen in Figure 8. As data on process performance was consistently lacking in all four areas of operations, the assessment used only available organizational data (i.e. financial performance and occupancy rate) from the IT systems to support the reasoning and depended on qualitative analysis for the rest. The top management approached the assessment and collection of information very seriously by interviewing all employees, reviewing employee surveys and by integrating their own experiences and knowledge. The final assessment is presented in Figure 8 (using the four levels of maturity defined in Figure 7).

	Capabilities	Level 1 - Ad Hoc	Level 2 - Managed	Level 3 - Defined	Level 4 - Optimizing
Strategic Alignment	Process Improvement Plan	V			
	Strategy & Process Capability Link	V			
	Process Architecture		V		
	Process Output Measurement		V		
	Process customers & stakeholders	V			
Governance	Process Management decision making				
	Process Roles & Responsibility			V	
	Process Metrics & Performance		V		
	Process Management Standards			V	
	Process Management Controls		V		
Methods	Process Design & Modelling		V		
	Process Implementation & Execution		V		
	Process Controll & Measurement	V			
	Process Improvement & Innovation	V			
	Process Project & Program Management	V			
Information Technology	Process Design & Modelling	V			
	Process Implementation & Execution			V	
	Process Controll & Measurement			V	
	Process Improvement & Innovation	V			
	Process Project & Program Management		V		
Culture	Process Skills & Expertise			V	
	Process Management Knowledge	V			
	Process Education & Learning	V			
	Process Collaboration & Communication	V			
	Process Management Leaders	V			
People	Responsiveness to process change	V			
	Process Values & Beliefs	V			
	Process Attitudes & Behaviours		V		
	Leadership attention to Process		V		
	Process Management Social Networks	V			

Figure 8: Assessment using the QUT BPM Maturity Model

(A "V" in the schema represents the assessed maturity of the respective capability area)

Strategic Alignment

The business sustains a clear strategy on the desired outcome of the process improvements: "*To do the little things better, and to go the extra mile*". However, this strategy seems to be insufficiently articulated to the employees. Hence, the **capability link** between the processes and the strategy is missing. There exists no **improvement plan** for the processes, nor is there any clarity in the **process customers and stakeholders**. Ideally the employees should see all processes of the organization and how they are mutually dependent. This is articulated to be part of the business strategy by the top management, but lacks support or understanding from the employees. The middle level managers do not see their ownership and responsibilities going beyond their respective processes. However, some processes have some **architecture** (or guidelines for execution) in place, and the kitchen has some **output measurements**.

Governance

As far as **roles and responsibilities** go, some process improvement efforts have been made in this area since the beginning of 2016. Through the implementation of a new booking and billing software (HotSoft) in April 2015, there is now a better way for estimating the need for staffing on any given day. HotSoft led to a clarification of roles and the responsibilities. The drawback to this is the fact that the kitchen section is still being run solely by the Head Chef, with no interference from the CEO. In the kitchen, a lack of efficiency and clear roles seems obvious, and despite being told to change things to improve process efficiency, no actions are being taken. However, the business has experienced a positive change after dividing the roles into *kitchen*, *conference hosts*, *housekeeping* and *headwaiter*. The middle level managers are taking on more responsibilities and ownership for their respective roles. Each middle level manager has been given some sort of **standards for metrics and performance** as well as **management standards** from the top management. Despite this involvement from the top managers, they try to keep the **decision-making** and **control** close to the middle level managers to empower them to make decisions regarding their own areas of operation. However, the 'ownership' of operational excellence is something the top management seems to have failed to clearly articulate to the middle level managers.

Methods

At first glimpse of the organization, there are currently no up-to-date methods in place to **control**, **measure** or **innovate** the processes in the business. This is left entirely to the top managers outside of their other duties. It also needs to be mentioned that there are very basic systems in place for the **design and modeling** of the processes, but none for the **implementation and execution** of them. These systems are based on Ms-Word documents, and handwritten documentation of performed processes. The top management did at some point outline some processes, but as the business has changed, these processes are outdated and cannot contribute realistically to the **process execution** or the **project and program management.**

Information Technology

In April 2015, the company spent a lot of money and resources (on training and implementation) on improving Information Technology, focusing on **control and measurement** in particular. The booking and billing system made the work of the CEO easier, as stated above under "Governance". Automation of processes including booking rooms, and billing have been an important part of freeing up the time of the CEO to manage and assist in the management of processes on lower levels. Implementing this software improved the **process implementation and execution** of the core processes, as details of the bookings are handled and communicated more clearly from the CEO to the middle level managers. **Process improvement and innovation** is not at all targeted by the IT software, nor is the **design and modeling**. The IT software has never targeted **process, project, and program management**, but the dialogue of enabling this feature has started with the software vendors Kringler is interacting with.

Culture

There are currently no articulated process management leaders in place. However, the top management is of the opinion that the **process management leaders** should be the middle level managers. This vision of process management is not carried out, as the middle level managers lack the ownership of their processes. **Process communication and collaboration** is rather weak, as there is little proof of a holistic view of the organization and the impact internal customers/suppliers have on the overall performance of the organization. The only part of the cultural aspect where the organization shows some maturity is in the process **skills and expertise**. The employees are proving to be good at what they do, especially in the kitchen. The **education and learning** is non-existing throughout the organization, and there is no mention of any efforts to develop the necessary skills in the workforce. Furthermore, what education there is seems to focus more on the innovation and improvement of the product delivered by the kitchen, but not on the processes itself. The lack of **management knowledge** of the processes makes many of the existing processes inefficient and outdated, and there is no culture in place to be innovative and adapt the existing processes to changes in the organization or to changes in demands from the customers.

People

As mentioned above, there is a lack of **responsiveness to process change** in the workforce at Kringler. It can be argued that this is due to the previously mentioned lack of leadership attention to processes. Only since the top management took part in a management development program in August 2015, **the leadership attention to process** thinking has been raised. From there on, the management has slowly come to see the different business activities as processes, and start to incorporate this into the organizational strategy. This has led to the clarification of roles and responsibilities as mentioned above. However, there is a lack of **process values and beliefs** amongst the employee, as they do not see their daily routines as processes. A few of the employees show a **process attitude** that leans towards a more holistic process centric thinking when asked about it, but their **behavior** on a daily basis is not consistent with this. As far as a social network goes, Facebook is used for messages from the top management to the employees (but only as a one-way communication stream) and there are currently no **process management social networks** in place.

Summary of the Assessment

Resulting from the above assessment of each of the six capability areas in the BPM MM, Table 2 depicts a heat map for the assessed current state. The four levels of maturity are represented with a dark grey (Level 1 – Ad Hoc) through to the light grey (Level 4 – Optimizing). The table shows how the area of Culture is the most underdeveloped in terms of maturity, followed by the areas of People, Strategic Alignment and Methods. This Heat map thus presents an overview of the pressure points for Kringler to progress towards a higher level of E-BPM.

Table 2: Summary heat map of current BPM status

Strategic Alignment	Governance	Methods	Information Technology	Culture	People
Process Improvement Plan	Process Management decision making	Process Design & Modelling	Process Design & Modelling	Process Skills & Expertise	Responsiveness to process change
Strategy & Process Capability Link	Process Roles & Responsibility	Process Implementation & Execution	Process Implementation & Execution	Process Management Knowledge	Process Values & Beliefs
Process Architecture	Process Metrics & Performance	Process Controll & Measurement	Process Controll & Measurement	Process Education & Learning	Process Attitudes & Behaviours
Process Output Measurement	Process Management Standards	Process Improvement & Innovation	Process Improvement & Innovation	Process Collaboration & Communication	Leadership attention to Process
Process customers & stakeholders	Process Management Controls	Process Project & Program Management	Process Project & Program Management	Process Management Leaders	Process Management Social Networks

Observed Challenges in doing a BPM Maturity Assessment in an SME

The following observations were noted in terms of applying the QUT BPM MM, in the process of conducting the current state assessment at Kringler.

- The model does not take into consideration the limitation of resources that often occurs in SMEs (also supported by Kirchmer (2011)). Most SMEs do not have the human resources available to perform extensive training and education of people, nor to appoint people to specific BPM tasks. When assessing the culture and people factors, the SME may achieve a lower score, as there exists no proper BPM centre of excellence in the organisation.
- However, the fact that the model addresses the people and culture aspects of enterprise level Business Process Management to a great extent makes the model a very good fit for purpose. As pointed out by Chong (2014), one of the bigger challenges for SMEs to implement BPM is the reliance on individual factors, as most SMEs are family-run. The model addresses the cultural aspect of BPM, in terms of the values and behaviours within an organisation (also supported by Rosemann and vom Brocke (2015)). Alignment of behaviours is likely to affect the prosperity of the enterprise level maturity of BPM, especially in SMEs. As the human resources are limited, the BPM education and knowledge should be spread across the organisation on a broader term (Kenny & Reedy, 2006). The QUT BPM MM overcomes this challenge by addressing several capability areas of the factors subject to this limitation (People and Culture). One would have to pay extra attention to these two areas when assessing the maturity of the organisation.

Though some limitations and constraints of the framework were observed, the value of using the QUT BPM MM was clear to the CEO. Top management had an “aha-experience” when given a visualization of the enterprise-wide shortcomings in facilitating for improvements in the business. Rather than addressing smaller issues using an ad hoc approach, this awareness created the necessary management support for moving towards introducing an organization wide BPM effort (supported by Taticchi et al. (2008)).

Challenges and Tasks

Kringler has reached out to you as a business consultant to give them comments on how better to do an E-BPM assessment and to help them derive a BPM road map that can guide them to apply BPM concepts to strive in the competitive market space they are working in. What would be your advice? What (constructive) feedback might you give to Kringler on their BPM efforts to date? And what recommendations might you give Kringler for planning their next steps?

SUGGESTED STUDENT TASKS

Question Block 1: Understanding the case study

1.0 Provide an overview of your understanding of the case study and the tasks required

- 1.1 What are their key areas of business operation?
- 1.2 What is their strategy and vision?
- 1.3 What does this really mean (from a BPM context)?
- 1.4 What were some of the challenges the business was facing?
- 1.5 What were some actions taken, in an attempt to address these challenges?
- 1.6 What triggered this company to consider E-BPM?

Question Block 2: Understanding BPM within SMEs

2.0 What do you see as the characteristics and challenges of BPM (in general) in SMEs?

- 2.1 What is an ‘SME’ by definition? And what are common characteristics of SMEs?
- 2.2 What factors may prohibit SMEs from adapting BPM in general?
- 2.3 Which of these factors (from above) do you observe within this case study?

Question Block 3: Understanding E-BPM

3.1 How is Enterprise wide Business Process Management (E-BPM) different to BPM in general or Business Process Improvements (BPI)?

3.2 What is the value of Enterprise Business Process Management?

Question Block 4: The application of BPM Maturity Models (BPM MM) to support Enterprise wide BPM efforts

4.1 Why do organizations use BPM MMs to assist with Enterprise wide BPM efforts?

4.2 What are some of the popular BPM MMs to consider? List and describe at least 3

4.3 What are the things to consider when selecting a BPM MM for E BPM purposes?

4.4 What are the typical steps to follow with a BPM Maturity assessment?

4.5 What might be some challenges of applying existing BPM MMs to SMEs?

4.5 What does 'BPM Maturity' mean in an SME context? How is this meaning different compared to what it means in a large company?

4.7 How might an SME best adapt existing BPM Maturity models to support with a current state assessment and derive a BPM Roadmap?

Question Block 5: E-BPM at the Case study

5.1 Critically review how the current BPM Maturity assessment was done at Kringler. What do you agree upon and/or might you do differently?

5.2 Were all the correct aspects (i.e. E-BPM capabilities) taken into account?

5.3 How was the data/ evidence collected?

5.4 What matrix was used to derive the overall scores? How does it fit the purpose of performing a BPM maturity assessment in an SME?

5.5 Design a BPM Roadmap for Kringler that clearly show short term, mid-term and long term Enterprise-wide BPM tasks you recommend. Describe and justify your response.

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APPENDIX A: FURTHER DETAILS ABOUT THE CASE STUDY

A.1 Values and Vision

The Norwegian version of the company vision is provided here, followed by an English translation.

«Litt lavere skuldre»

· Kringler er et sted hvor man kan stole på at man blir ivaretatt på en profesjonell, men tilstedeværende måte. Man kan senke skuldrene fordi:

· Man behøver ikke bekymre seg for om arrangementet skal gå på skinner, det sørger vertskapet for at det gjør.

· Nærheten til naturen, lyden av fossen og skogen virker beroligende og tar bort stress

· Bygningsmassen er luftig og moderne, selv om den er full av historie, man får plass til å puste med magen.

· Bevegelse ute i naturen hjelper gjestene til å få ut stress og senke skuldrene.

· Nydelig mat og inspirerende omgivelser bidrar også til å få skuldrene ned og idéene opp.

Translation of the vision is as follows:

"Lower your shoulders"

- Kringler is a place where you feel taken care of in a professional way, that allows you to lower your shoulders because
    - There is no need to worry about anything going wrong with the conference, the conference hosts will facilitate every request/customisation you make
    - The proximity to the nature, the sound of the waterfall and the forest has a calming, stress-relieving effect on the human mind
    - The buildings are spacious and modern with high ceilings, whilst at the same time filled with history. This allows you to breathe with your stomach, not simply your chest
    - Movement in the beautiful landscape helps focus your mind on the importance of being present in every moment
    - Delicious food and inspiring surroundings help increase innovativeness and creativity

A.2 Snapshots from the Company Website (www.kringler.no)

The following snapshots are from the company website, and they depict how it aspires to reflect their vision of being a 'home away from home'.

A.3 Process Architecture

A Process Architecture (PA) is an overview of the processes of an organization, divided into management processes, core processes and enabling processes (Green & Ould, 2005). This allows for a holistic view of the organization, and how the processes are all related. Kringler has three main areas of operation (see Figure 4 – Organizational structure) all visualized in the PA. Their respective processes and responsibilities are depicted in the PA presented below. Following is an introduction to the PA explaining the four types of processes.

Management processes

The management processes include all processes related to the overall government and business strategy. This includes managing the strategy of the organization, ensuring alignment with vision and values and managing stakeholders as described in the Stakeholder analysis. Financial management (i.e. invoicing) as well as managing governmental funding/financial support is part of this process area. Governmental affairs include all reporting of sold quantum (food/drinks) as well as financial reporting (i.e. taxes). Management of food and liqueur licenses are part of the management processes as well.

Core processes – operating

The four main areas of operation all belong to the core processes. The Head Chef controls the supplies of produce to the kitchen, is in charge of all meal services (including the menu) and planning of kitchen rosters. The Head Waiter is responsible for the dinner service (from setting the table to customer requests for pre/post dinner activities or drinks). The Conference Host manages the process of hosting the conferences and facilitates all customer requests concerning these. Furthermore, invoicing, and changes in the bookings are part of this process area, as is ensuring the compliance of health and safety standards. The Housekeeper is in charge of cleaning the conference rooms as well as accommodation, managing the stock of beddings/linens, and reporting of any maintenance issues to the janitor.

Enabling processes

Enabling processes include Human Resource Management, Marketing and Social Media, Maintenance and Information Technology. The IT is currently limited to the use of Facebook to notify employees and the outputs from HotSoft to provide the necessary information on customer specifications and requirements.

Supporting processes

The supporting processes in this PA represent the processes that as of 2016 do not belong under any of the main areas of operation, thus they are run by the owners, or whomever has free time, on an ad hoc basis. These include the Garbage processes (such as composting food waste), the Brewery, the breeding of Scottish highland cows, Transportation of guests to/from the airport and the landscaping. The Green house is a supporting process as it provides fresh herbs to the kitchen, and the landscaping is an important part of the upkeep of the “cozy” and picturesque environment.

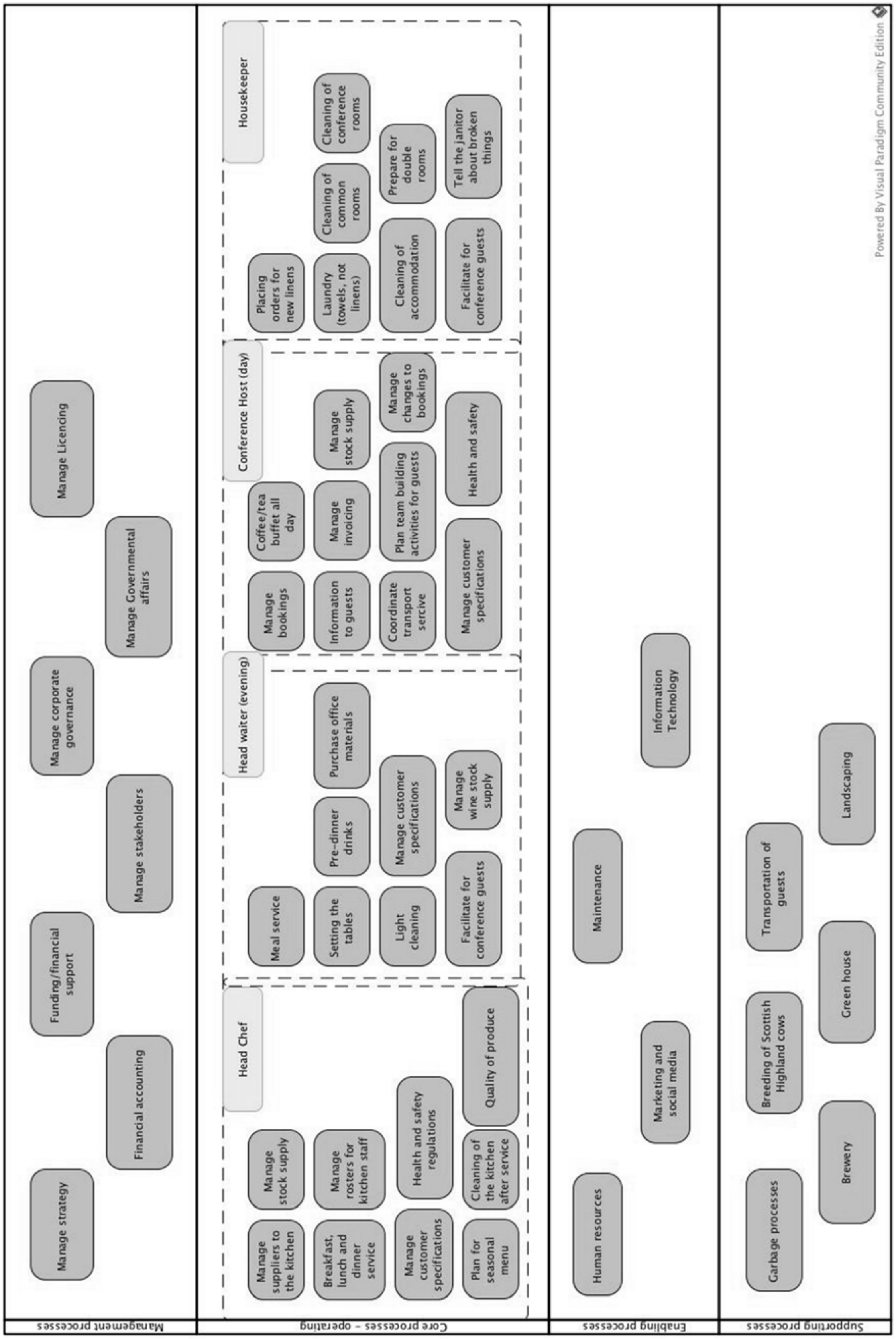
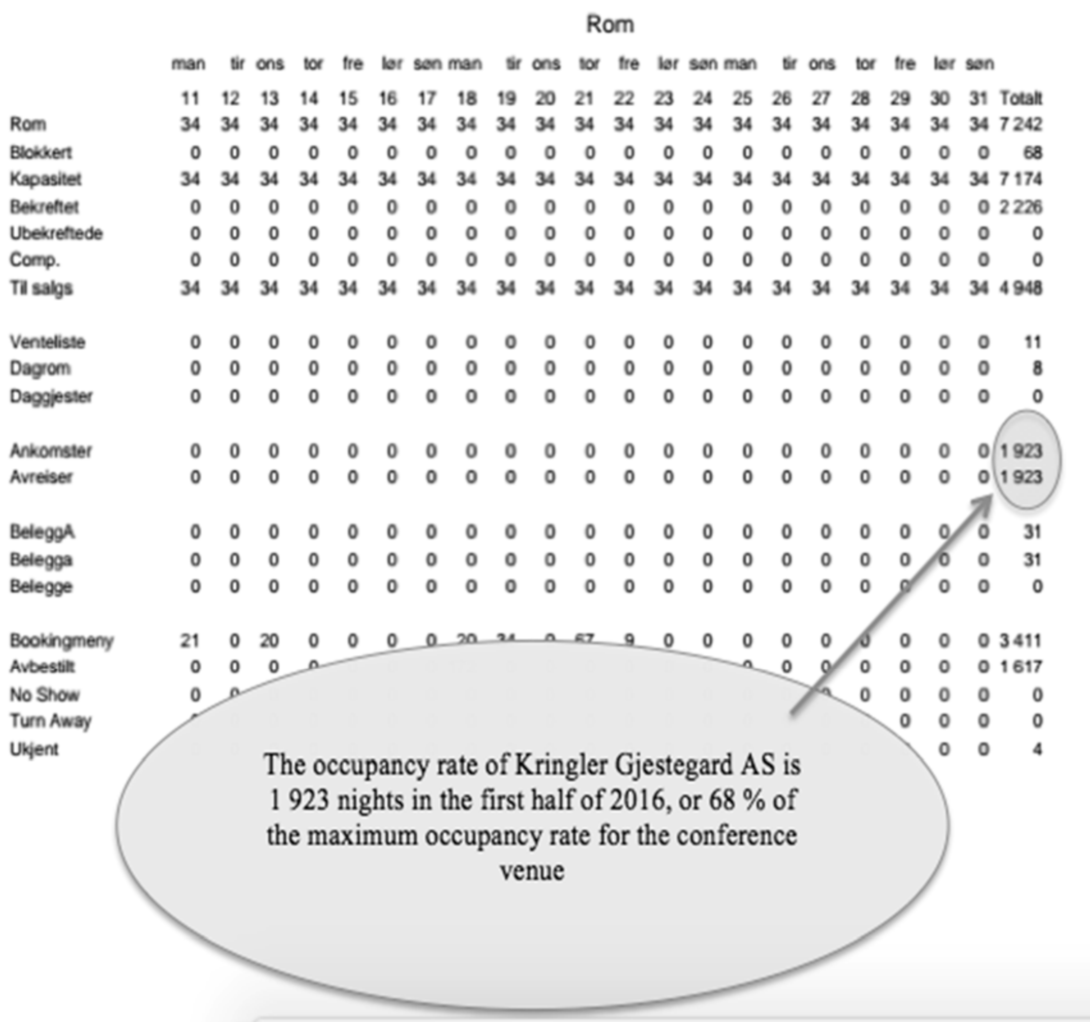

Management processes
Manage strategy
Financial accounting
Funding/financial support
Manage stakeholders
Manage corporate governance
Manage Governmental affairs
Manage Licencing
Core processes – operating
Head Chef
Manage suppliers to the kitchen
Manage stock supply
Breakfast, lunch and dinner service
Manage rosters for kitchen staff
Manage customer specifications
Health and safety regulations
Plan for seasonal menu
Cleaning of the kitchen after service
Quality of produce
Head waiter (evening)
Meal service
Setting the tables
Pre-dinner drinks
Purchase office materials
Light cleaning
Manage customer specifications
Facilitate for conference guests
Manage wine stock supply
Conference Host (day)
Manage bookings
Coffee/tea buffet all day
Information to guests
Manage invoicing
Manage stock supply
Coordinate transport sercive
Plan team building activities for guests
Manage changes to bookings
Manage customer specifications
Health and safety
Housekeeper
Placing orders for new linens
Laundry (towels, not linens)
Cleaning of common rooms
Cleaning of conference rooms
Cleaning of accommodation
Prepare for double rooms
Facilitate for conference guests
Tell the janitor about broken things
Enabling processes
Human resources
Marketing and social media
Maintenance
Information Technology
Supporting processes
Garbage processes
Breeding of Scottish Highland cows
Brewery
Green house
Transportation of guests
Landscaping
Powered By Visual Paradigm Community Edition

Figure A - 1

A.4 Occupancy Rate

The occupancy rate is a percentage of the maximum occupancy at a given time. This is given as the number of nights guests have booked accommodation at Kringler, counted as the total number of beds occupied. Depicted is the first half of 2016, with an occupancy rate of 68 %. For such a small venue, the CEO confirms this to be a good percentage as they are limited by the number of beds to accommodate several larger groups, thus often having less than all 51 beds booked (Olstad, 2016).



Rom

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Rom	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	7 242
Blokkert	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	68
Kapasitet	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	7 174
Bekreftet	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	2 226
Ubekreftede	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Comp.	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Til salgs	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	34	4 948
Venteliste	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	11
Dagrom	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	8
Daggjester	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Ankomster	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1 923
Avreiser	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1 923
BeleggA	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	31
Belegga	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	31
Belegge	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Bookingmeny	21	0	20	0	0	0	0	20	34	0	67	9	0	0	0	0	0	0	0	0	0	3 411
Avbestilt	0	0	0	0	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	0	0	0	0	0	0	0	1 617
No Show	0	0	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	0	0	0	0	0	0
Turn Away	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	0	0	0	0
Ukjent	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	0	0	4

A.5 Economic Transcript

The economic transcript presents the gross revenue generated by Kringler in the first half of 2016. This includes all areas of operation as well as the supporting processes (i.e. the brewery). The total revenue is found to be 8,337 mill NOK, or approximately 1,4 mill AUD.

Kringler gjestegård AS 15.08.2016

Kassaliste 01.01.2016 - 31.07.2016 HR021-02 (I)

Navn	Nei
Rapport undertyper	Oppgjør vakt: Sammendrag
Debitere	Alle

Konto #	Beskrivelse	Transaksjoner	Debet	Kreditt	Beløp
1900	Kontant	4	1 225,00	0,00	1 225,00
1902	Kortbetaling	228	640 401,00	0,00	640 401,00
1905	Fakturastenging	264	8 658 641,00	962 719,00	7 695 922,00
Totalt		**496**	**9 300 267,00**	**962 719,00**	**8 337 548,00**

Translation of the economic transcript:

Stated from the first half of 2016, the gross amount of revenue generated by the business is 8,337 mill NOK, or approximately 1,4 mill AUD.

A.6 SWOT Analysis as of September 2015

Strengths:	Weaknesses:
• Entrepreneur attitude in the top management • Willingness to develop and improve further • Customer centric organisation – willingness to listen and customise • Highly skilled chefs, good quality produce • Personal and "homemade" • Location: Close to the international airport • Functional layout of the venue • Classy and a well-developed style of the interior • Top management eager to continue growing and develop to exceed customer expectations • The venue stands out in the crowd of larger hotels etc. with its homely feeling	• Employees do not see the requirements of their work • Poor communication between the top management and the employees • Limitation in terms of accommodation capacity (only 51 rooms) • The CEO has too many responsibilities and faces too many tasks on a daily basis, unable to keep an organisational overview in mind • The top management wants to expand too rapidly, not allowing the organisational culture to grow accordingly • Highly dependent on the top management in daily routines • Little responsibility taken by the employees • Need for innovation in the kitchen • Few small conference rooms
Opportunities:	**Threats:**
• Focusing on the fresh produce, an onsite brewery and farm fresh meat, eggs etc. • Package deals, in terms of offering a set price for a fixed menu a few nights each month • Very personal and close relationship with the customers, loyal customers returning	• Economic downturn due to low oil prices • For the venue to become too much like the more traditional conference venues (i.e. hotels) and lose their uniqueness • Not able to complete projects properly due to time issues

APPENDIX B: IMPROVEMENTS ATTEMPTED

B.1 Insights Obtained from the Management Survey

The survey was created by the CEO and answered by all of the four middle level managers, with a response rate of 100 %. All questions were to be answered from the perspective of how the respondent felt the assertion was true for Kringler as an organization. The four respondents are represented in the table by the distribution of their replies. Areas of potential interest are highlighted in the table.

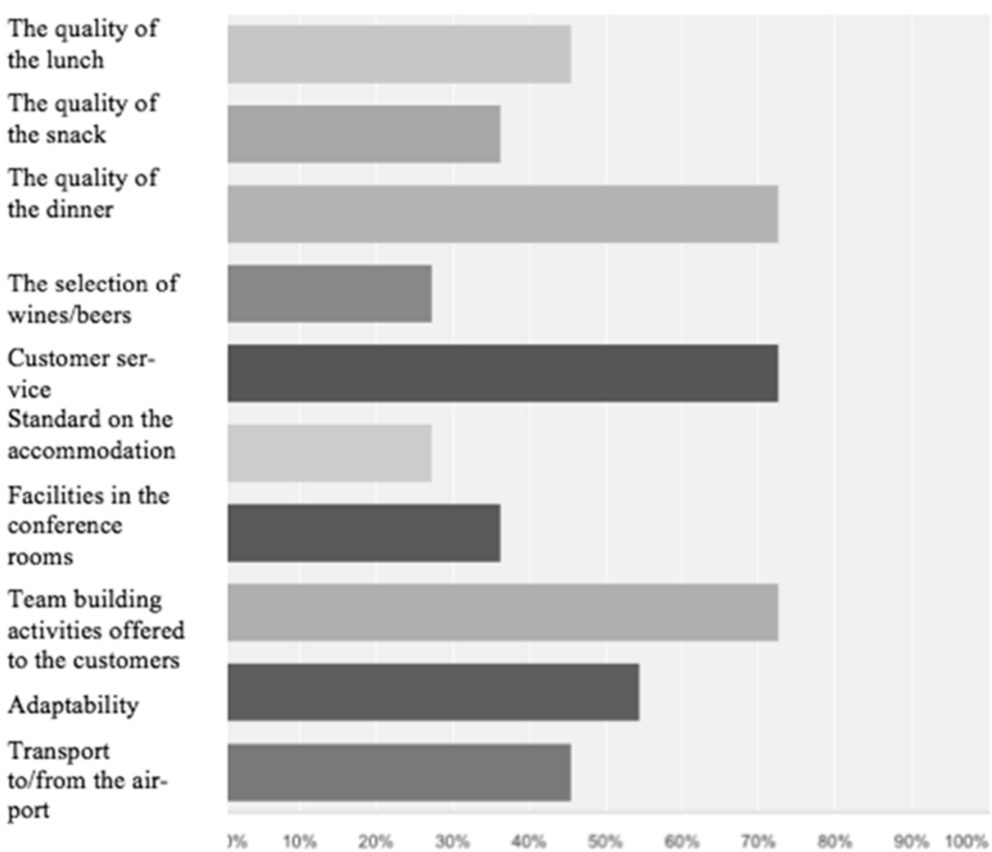
Question	To little extent	To some extent	To a large extent
To what extent is Kringler able to accommodate special requests from the customers	0	2	2
To what extent is Kringler able to accommodate changes “on the spot”	0	4	0
To what extent do changes imply an increase in the costs that will not be covered by the customer	4	0	0
To what extent does Kringler has the resources to accommodate changes “on the spot”	0	1	3
To what extent is Kringler delivering the same quality product to all its customers	0	0	4
To what extent is Kringler able to respond to booking requests within the same working day	0	0	4
To what extent is efficiency in the work routines an area of focus at Kringler	0	1	3
To what extent is minimization of costs an area of focus at Kringler?	1	2	1
To what extent is Kringler providing a product that is well aligned with the expectations of its customers	0	0	4
To what extent is the values of Kringler reflected in how processes are performed	0	2	2
To what extent does Kringler receive good feedback from its customers	0	2	2
To what extent does Kringler receive feedback on things that should be	4	0	0

done differently			
What are some areas of improvement	Accommodation (more rooms)	Quality of the food	Customer service after dinner is served

B.2 Employee Survey

The two employee surveys undertaken showed a gap between the expectations from the top management and how the employees felt responsible for the organizational performance. A total number of 20 employees answered the survey (100 % of the workforce).

The following figure displays the answers collected from the employee survey to the question 'What, in your opinion, is embedded in the strategy of "doing the little things better"?'. It is important to note the employees were asked this question as a multiple choice question, but given the opportunity to add options as well. As the quality of the food, customer service, adaptability and activities offered to the customers are rated as very important to the strategy of 'doing the little things better', the lack of willingness to improve on these areas is not coherent in the answers. As the middle-level managers perform all the above-mentioned processes, and they clearly state that they see the value and importance of these, top management wishes for them to be more involved in continuously improving these areas.



B.3 Examples of Attempted Process Modeling Efforts

To provide a better understanding of the processes in place at Kringler, some processes were modeled in April 2016 as part of attempting an enterprise-wide approach to BPM. The two main processes modeled were the meal service process, and the booking of conference process.

These processes were presented to the top management, with the intension to convey; (i) how the processes interacted with each other and to display how the different middle level managers needed to work together, and (ii) how the customer interacts with the company when a booking is made. Note that there may be syntax errors in place, as the modeling of the processes was performed without prior training in process modeling tools. The reason for inclusion of these models with the possibility of syntax errors is to provide an overview of the processes in the business for the reader of this teaching case.

The process of meal service (see Figure B.3 – 1) involves the headwaiter and the head chef. The modeled process is based on the dinner service, but it is more or less the same process for lunch service, except there is no first course. As the kitchen solely relies on being notified by the waiter on preparing the courses, this timing as well as an understanding of process collaboration is important. If the kitchen is not notified, guests will have to wait for their next course, or the food might get cold if the timing is off, which can have a big impact on the customers' perceptions of the food service. The focus of the improvement efforts undertaken since 2015 has been to help kitchen staff to perceive the supplier-customer relationship. However, the two parties still lack a holistic process centric view, and they focus too much (according to the top management) on completing each task in their area of operations than being concerned with the overall process.

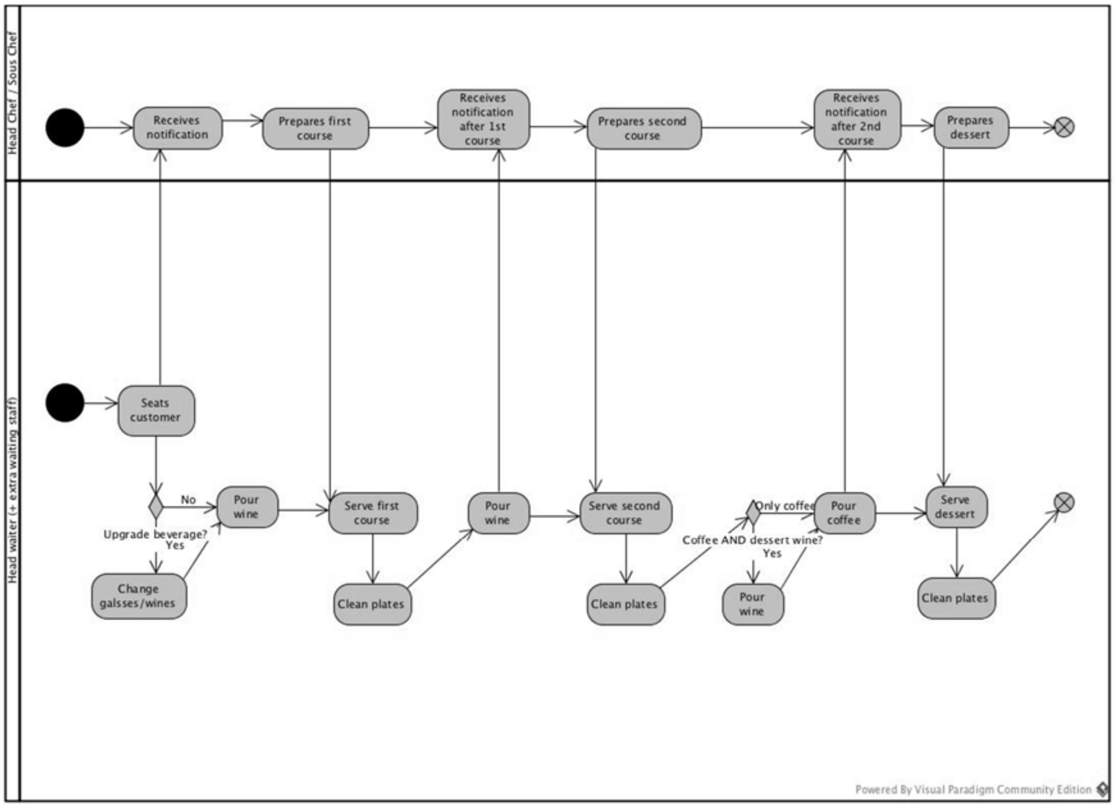


Figure B.3 - 1 Process map of meal service process

The second process modeled was the booking process, and is shown in Figure B.3 - 2. The request comes in via phone or email to the CEO. It is noted and handed over to the Conference Host who takes over the request from there. This is due to the lack of IT knowledge in the company (only the CEO is familiar with the booking system). After the booking is registered, there is some communication back and forth with the customer to confirm the selected dates, before finalizing the booking. This communication is often subject to delays as the requested dates are not always available, and the changing of the dates needs approval from a higher level in the customer company. Furthermore, as the CEO is the only one with the training to handle bookings, this process relies on her availability to be completed.

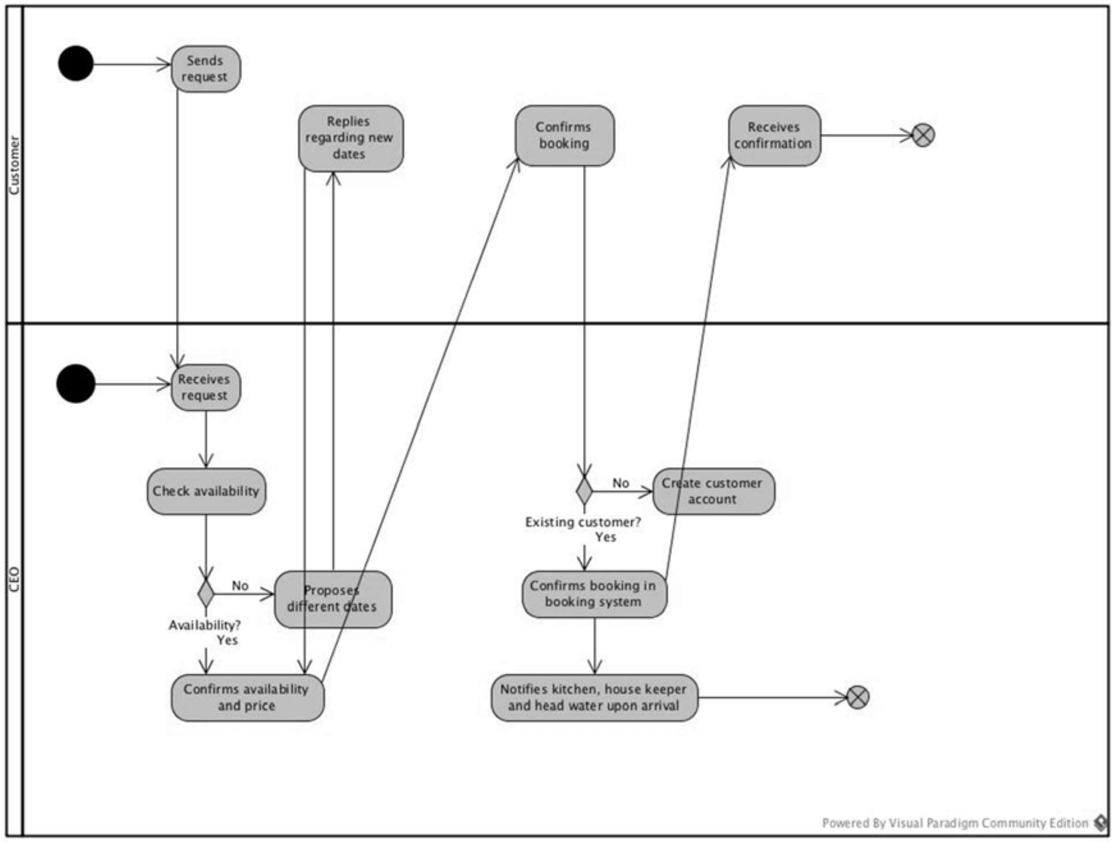


Figure B.3 - 2 Process map of conference booking process